Introduction

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E-commerce

- E-commerce means buying and selling **products, services, or information** through electronic media (mainly the internet).
- It's basically **traditional business done online**.
- Example: Ordering clothes from Daraz or Amazon. The process of **order, payment, and delivery** happens electronically.

E-business

- Many people think e-business and e-commerce are the same, but they're different.
- **E-commerce** = only buying and selling online.
- **E-business** = bigger concept. It includes buying and selling **plus** other activities like customer service, business partnerships, internal operations, and planning.
- Example: Flipkart using its website for sales (e-commerce) and also using digital tools for supply chain management, customer care, and marketing (e-business).

Pure vs. Partial E-commerce

- **Pure E-commerce:** Entire process is digital.
  Example: Buying and downloading an **e-book from Amazon** (order, payment, delivery all online).
- **Partial E-commerce:** Only some parts are online.
  Example: Ordering food online from a restaurant but paying **cash on delivery**. (Order = online, but delivery & payment = physical).

Features / Benefits of E-commerce

1. **Ubiquity (Available everywhere):**
   - You can shop anytime, anywhere.
   - Example: Buying shoes online at midnight from your phone.
2. **Global Reach:**
   - Businesses can sell products worldwide easily.
   - Example: A Nepali handicraft seller shipping items to the USA through Etsy.
3. **Universal Standards:**
   - Internet standards are the same everywhere, making it easy for anyone to join online business.
   - Example: Websites and apps run on the same basic rules across countries.
4. **Interactivity (Two-way communication):**
   - Customers and sellers can interact directly.
   - Example: Chatting with Amazon customer service online.
5. **Information Density:**
   - Huge amount of detailed info available for buyers and sellers.
   - Example: Comparing mobile phones online by checking prices, reviews, and specs.
6. **Richness (Variety of messages):**
   - Business can use text, images, videos, audio, links, etc. to sell.
   - Example: A YouTube ad showing product videos with a link to buy instantly.

History of E-commerce in Nepal

Initially, e-commerce activities in Nepal were mainly concentrated in the Kathmandu Valley and some major cities. E-commerce was introduced in Nepal with the aim of letting Nepalis residing abroad send gifts to their families, friends, and relatives living here. The shift from physical stores to virtual ones began in the late 1990s. Nowadays, with the increase of internet availability and the number of mobile users in rural areas, there is an increase in online activities. Today, there are many e-commerce websites providing e-commerce, e.g., Daraz, HamroBazar, SastoDeal, shopmandu, etc.

E-commerce Framework (5 Pillars)

1. **People**
    - People are the main users of e-commerce, either directly or indirectly.
    - This includes customers, sellers, intermediaries, system specialists, and employees.
    - **Example:** Customers buying from Daraz, delivery staff, and IT specialists maintaining the platform.
2. **Public Policy**
    - Deals with government laws and regulations for e-commerce.
    - Covers taxation, privacy laws, and other legal issues.
    - Includes merchant responsibilities like terms & conditions, copyrights, and trademarks.
    - **Example:** Paying VAT on online purchases or protecting a brand's logo.
3. **Marketing & Advertisement**
    - Creating a strong online presence is key for e-commerce success.
    - Strategies include social media promotions, content marketing, digital advertising, and market research.
    - **Example:** Instagram ads promoting a new product or SEO optimization to appear on Google searches.
4. **Support Services**
    - Services that keep e-commerce running smoothly.
    - Includes after-sales support, payment gateways, and content services.
    - **Example:** eSewa or Khalti payment systems, 24/7 customer chat support.
5. **Business Partnership**
    - Strong relationships between businesses boost e-commerce.
    - Includes affiliate programs, joint ventures, and e-marketplaces.
    - **Example:** Amazon affiliates or Flipkart partnering with delivery companies.

Types of E-commerce

1. **Business-to-Consumer (B2C)**
    - Business sells directly to individual consumers.
    - **Example:** Buying a laptop online from Dell or a T-shirt from Daraz.
2. **Business-to-Business (B2B)**
    - One business sells to another business.
    - **Example:** Hero Motors buying tires from MRF.
3. **Consumer-to-Consumer (C2C)**
    - Consumers sell to other consumers.
    - **Example:** Selling a used phone on OLX or eBay.
4. **Consumer-to-Business (C2B)**
    - Consumer sells products or services to a business.
    - **Example:** A freelancer selling photos to a stock photo website.

Other Types:

- **Mobile E-Commerce (M-Commerce):** Buying/selling via mobile devices. Example: Mobile banking, travel booking apps.
- **Social E-Commerce:** Using social networks to buy/sell. Example: Instagram Shop, Facebook Marketplace.
- **Local E-Commerce:** Focused on nearby customers using location-based marketing. Example: Local restaurants promoting delivery in your area.
- **U-Commerce (Ubiquitous Commerce):** Continuous interaction between retailers and customers anytime, anywhere, on any device. Example: Ordering via smart devices like Alexa.

Challenges of E-commerce

1. **Online Identity Verification:** People may give false information online.
2. **Competitor Analysis:** Many sellers offering similar products, so market knowledge is important.
3. **Customer Loyalty:** Keeping existing customers while attracting new ones is challenging.
4. **Product Refund & Policies:** Handling returns and exchanges can be complicated.
5. **Shipping Cost:** High shipping fees may discourage customers.
6. **Data Security:** Protecting customer information from hacks and fraud.
7. **Switching to M-Commerce & IoT-Commerce:** Adapting to new technologies like mobile and IoT-based commerce.
8. **Trust Issues:** Customers may hesitate to make online payments.

Electronic Transaction Act of Nepal (2063 BS / 2008 AD)

- Nepal's first law to regulate and legalize electronic transactions.
- Recognizes **electronic records** and **digital signatures** as valid.
- Defines rules for sending, receiving, and acknowledging electronic records.
- Establishes regulating bodies:
    - **Office of Certificate Control (OCC)**
    - **Certification Agencies (CA)**
    - **Subscribers (users of e-services)**
- Covers digital signatures, certificates, cyber crimes, and punishments.
- Some documents are **excluded** from this act.

Provisions relating to digital certificates in the Electronic Transaction Act of Nepal

- **Digital certificates** are electronic documents used to prove the identity of a person, organization, or website in online transactions.
- The act defines **how digital certificates are issued, managed, and used**.
- **Certification Authorities (CA)** are responsible for issuing digital certificates.
- **Office of Certificate Control (OCC)** supervises and regulates CAs to ensure security and trust.
- Users (subscribers) can use these certificates to sign documents, verify identities, and conduct secure online transactions.

For example, when buying products from Daraz, digital certificates issued by a CA ensure that customers are securely connected to the real Daraz server. This builds trust in online payments and transactions, as defined in the Electronic Transaction Act of Nepal.

Factors Driving the Growth of Social E-Commerce

Social e-commerce is buying and selling products through social networks. Its growth is driven by:

1. **Widespread use of social media** – Platforms like Facebook, Instagram, and TikTok allow sellers to reach millions.
2. **Influencer marketing** – Influencers promote products, increasing trust and sales.
3. **Easy sharing and recommendations** – Users share product links or reviews with friends, boosting visibility.
4. **Targeted advertising** – Social networks collect user data, enabling ads for the right audience.
5. **Integrated shopping features** – Platforms now allow users to buy without leaving the app (e.g., Instagram Shop).
6. **Community engagement** – Direct interaction between sellers and buyers builds trust.

- **Example:** A small Nepali handicraft seller promoting products via Instagram and TikTok, and customers buying directly through links in posts.